

will find a home with one or more of the following exit options, though a savvy buyer will maximize their potential across all three options for the most flexibility and the best chance for building wealth.

1. **Live in the property indefinitely.** Meaning, you have to actually enjoy living there. If popcorn ceilings give you the heebie-jeebies, keep that in mind when you're shopping for a home.
2. **Keep the property as a cash-flowing rental.** Meaning, the property must generate cash flow as a rental. Don't panic—we'll get to the details later.
3. **Sell the property for a net profit.** Meaning, the property must appreciate enough to offset all those pesky closing costs we talked about in the previous chapter.

Controlling the variables that impact the financial outcome of a home purchase isn't easy. Long-term appreciation rates, property taxes, home insurance rates, and local rent prices are anyone's guess at the end of the day. While you can lean a little on national and local averages, you certainly can't depend on them.

However, there's one variable completely within the buyer's control that can dramatically change the risk associated with a home purchase: the amount of time you own the property. We've said it before and we'll say it again, but this time there's a bonus—buying a home is a long-term choice, but you don't necessarily have to *live* in the property long term to *own* it long term.

With that, let's dive a little deeper into each of your three exit options.

EXIT STRATEGY NO. 1 LIVE IN THE PROPERTY INDEFINITELY

A big problem for many first-timers is buying too much house too early in life, which limits their financial options. Do you remember our good friends Alex and Shelby from the introduction? Not only did they buy at the very top of their budget, but they also borrowed extra money from Dad on top of that.